

**Time:** 5 minutes**Outcome:** Calculate Marginal Cost & Production-Cost Linkages.**Difficulty:**

●●○ Intermediate

Marginal Cost & Production-Cost Linkages



THE CORE IDEA

Marginal cost is the change in total cost caused by producing one more unit. Divide the input cost by marginal product. Higher MP lowers variable input cost per extra unit. A constant addition to cost at every output does not change the cost of producing one more unit.



HOW TO RECOGNIZE IT

- Look for the change in total cost caused by producing one additional unit.
- Compute marginal cost as the change in total cost divided by the change in output.
- A fixed-cost change does not change marginal cost, but a variable-input cost change usually does.
- When marginal product falls, marginal cost tends to rise if the input price is unchanged.

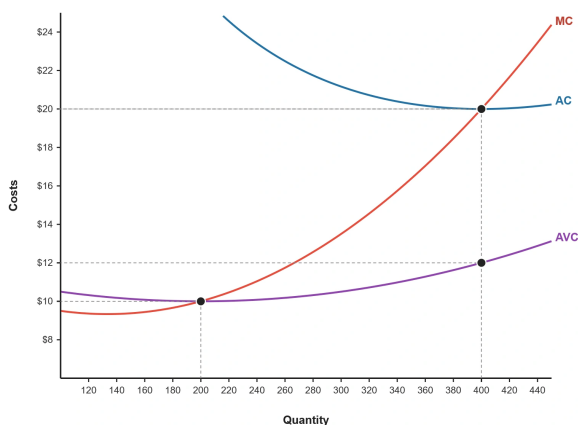


WATCH OUT

A common mistake is to move mp and mc together. Higher MP lowers variable input cost per extra unit. A constant addition to cost at every output does not change the cost of producing one more unit.



WORKED EXAMPLE: LINKING MARGINAL PRODUCT AND COST



Marginal cost crosses AVC at AVC's minimum of \$10 and 200 units, then crosses AC at AC's minimum of \$20 and 400 units. When marginal cost is below an average, it pulls that average down; when marginal cost rises above it, the average begins to increase.



CHECK YOURSELF

If output rises by 1 unit and total cost rises by \$18, marginal cost of that unit is:?

**READY?**

Return to the game and master this concept.